

25STCV36426 25STCV36426

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Case Number: 25STCV36426 Hearing Date: September 28, 2026 Dept: 406

RAHA NABI,

Plaintiff,

v.

MERCEDES-BENZ USA LLC, et

al.,

Defendant.

Case No.: 25STCV36426

Hearing Date: April 20, 2026

[TENTATIVE]

order RE:

defendant's

motion to compel arbitration

BACKGROUND

On April 23, 2026, Plaintiff Raha

Nabi filed this action against Defendant Mercedes-Benz USA LLC (MBUSA),

alleging violations of the Song-Beverly Act arising from Plaintiff's purchase

of a motor vehicle.

On June 29, 2026, MBUSA filed the instant motion to compel arbitration. Plaintiff filed an opposition on September 14, 2026. MBUSA filed a reply on September 18, 2026.

LEGAL STANDARD

“On petition of a party to an arbitration agreement alleging the existence of a written agreement to arbitrate a controversy and that a party to the agreement refuses to arbitrate that controversy, the court shall order the petitioner and the respondent to arbitrate the controversy if it determines that an agreement to arbitrate the controversy exists....” (Code Civ. Proc, § 1281.2.) “The party seeking arbitration bears the burden of proving the existence of an arbitration agreement, and the party opposing arbitration bears the burden of proving any defense, such as unconscionability.” (Pinnacle Museum Tower Assn. v. Pinnacle Market Development (US), LLC (2012) 55 Cal.4th 223, 236.)

Furthermore, the Federal Arbitration Act (FAA) states that “[a] written provision in any . . . contract evidencing a transaction involving commerce to settle by arbitration a controversy thereafter arising out of such contract or transaction . . . shall be valid, irrevocable, and enforceable, save upon such grounds as exist at law or in equity for the revocation of any contract.” (9 U.S.C. § 2.)

REQUEST FOR JUDICIAL NOTICE AND OBJECTIONS

Requests for judicial notice is GRANTED.

Objections are OVERRULED.

DISCUSSION

I. Arbitration Clause

“Because the existence of the agreement is a statutory prerequisite to granting the petition, the petitioner bears the burden of proving its existence by a preponderance of the evidence.” (Iyere

v. Wise Auto Group (2023) 87 Cal.App.5th 747, 754.) “The arbitration proponent must first recite verbatim, or provide a copy of, the alleged agreement.” (Id. at p. 755.) “At this step, a movant need not ‘follow the normal procedures of document authentication’ and need only ‘allege the existence of an agreement and support the allegation.’” (Ibid.)

Here, MBUSA relies on the lease agreement, which provides as follows:

Any claim or dispute, whether in contract, tort or otherwise (including any dispute over the interpretation, scope, or validity of this lease, arbitration section or the arbitrability of any issue), between you and us or any of our employees, agents, successors, assigns, or the vehicle distributor, including Mercedes-Benz USA LLC (each a “Third-Party Beneficiary”), which arises out of or relates to a credit application, this lease, or any resulting transaction or relationship arising out of this lease (including any such relationship with third parties who do not sign this contract) shall, at the election of either you, us, or a Third-Party Beneficiary, be resolved by a neutral, binding arbitration and not by a court action.

(Newman Decl., Ex. 2.)

This evidence satisfies MBUSA's initial burden of proving the existence of an arbitration agreement.

II.

Third-Party Beneficiary

“The general rule is that only a party to an arbitration agreement may enforce it.” (Ronay Family Limited Partnership v. Tweed (2013) 216 Cal.App.4th 830, 837.) However, one exception is that “a third party beneficiary of an arbitration agreement may enforce it.” (Id. at p. 838.) “A contract, made expressly for the benefit of a third person, may be enforced by him at any time before the parties thereto rescind it.” (Civ. Code, § 1559.) This requires a showing that: (1) “the third party would in fact benefit from the contract;” (2) “a motivating purpose of the contracting parties was to provide a benefit to the third party;” and (3) “permitting a third party to bring its own breach of contract action against a contracting party is consistent with the objectives

of the contract and the reasonable expectations of the contracting parties.” (Goonewardene v. ADP, LLC (2019) 6 Cal.5th 817, 830.)

Here, the arbitration clause expressly names MBUSA as a third-party beneficiary. (Newman Decl., Ex. 2.) Thus, the three requirements are met: (1) the agreement benefits MBUSA by allowing it to pursue arbitration; (2) the express naming of MBUSA as a third-party beneficiary demonstrates that the parties intended to provide a benefit to MBUSA; and (3) permitting MBUSA to enforce the agreement would be consistent with the objectives of the contract and the reasonable expectations of the parties. Thus, MBUSA is entitled to enforce the arbitration agreement as a third-party beneficiary.

The Ford Motor Warranty Cases (2025) 17 Cal.5th 1122, are distinguishable from the present case. In Ford, the manufacturer was not expressly named as a third-party beneficiary.

Plaintiff’s argument—that MBUSA cannot enforce arbitration as a third-party beneficiary despite being expressly named as a third-party beneficiary—would contravene the plain terms of the agreement and the parties’ intent. The intent of an agreement is ascertained solely from its words, if possible; the language of the contract controls if it is clear and explicit. (See Martinez v. BaronHR, Inc. (2020) 51 Cal.App.5th 962, 967.) The language in the arbitration clause here is clear and explicit in naming MBUSA as a third-party beneficiary entitled to enforce arbitration. Plaintiff has provided no legal support for a contrary interpretation.

In sum, MBUSA has standing to enforce the arbitration agreement as a third-party beneficiary.

III.

Unconscionability

Unconscionability has both a procedural and a substantive element. (Aron v. U-Haul Co. of California (2006) 143 Cal.App.4th 796, 808.) Both elements must be present for a court to invalidate a contract or clause. (Ibid.) However, the two elements need not be present in the same degree; courts use a sliding scale approach in assessing the two elements. (Carbajal v. CWPSC, Inc. (2016) 245 Cal.App.4th 227,

242.)

a. Procedural Unconscionability

Procedural unconscionability “focuses on two factors: ‘oppression’ and ‘surprise.’ ‘Oppression’ arises from an inequality of bargaining power which results in no real negotiation and ‘an absence of meaningful choice.’ ‘Surprise’ involves the extent to which the supposedly agreed-upon terms of the bargain are hidden in the prolix printed form drafted by the party seeking to enforce the disputed terms.” (Zullo v. Superior Court (2011) 197 Cal.App.4th 477, 484, internal citations omitted.)

Plaintiff argues that the arbitration agreement is procedurally unconscionable as a contract of adhesion. Plaintiff also argues that he was not given reasonable opportunity or time to review the terms of the alleged arbitration provision. However, Plaintiff presents no evidence of either fact, thus failing to meet his burden of proving unconscionability. (See *Crippen v. Central Valley RV Outlet* (2004) 124 Cal.App.4th 1159, 1166 [“nothing in the record shows that plaintiff could not bargain in this case”].) Therefore, the Court finds no procedural unconscionability.

b. Substantive Unconscionability

Substantive unconscionability focuses on the actual terms of the agreement and evaluates whether they create overly harsh or one-sided results as to shock the conscience. (*Suh v. Superior Court* (2010) 181 Cal.App.4th 1504, 1515.)

Plaintiff argues that the arbitration agreement is substantively unconscionable because it waives his rights under the Song-Beverly Act. However, Plaintiff fails to identify any provision in the arbitration agreement that waives his statutory rights or remedies. There is no general rule that claims arising under the Song-Beverly Act cannot be arbitrated. Absent a specific showing of substantive unconscionability, Plaintiff has failed to meet his burden of proof. Moreover, due to the complete absence of procedural unconscionability, the contract would be enforceable even if there were some degree of substantive unconscionability.

In sum, the Court finds no

procedural or substantive unconscionability. As a result, the arbitration agreement remains enforceable.

IV.

MBUSA has not Waived its Right to Arbitration.

MBUSA was served with Plaintiff's complaint on May 29, 2026. MBUSA filed this petition to compel arbitration on June 29, 2026. The court finds that MBUSA providing initial

disclosures to Plaintiff on August 28, 2026, was not a waiver of MBUSA's right to arbitrate.

V. MBUSA's petition is not barred by collaterally estopped.

As set forth above, this court does not agree with the trial courts' rulings in the two cases cited by Plaintiff. Each arbitration ruling is specific to each plaintiff's contract and circumstances. Courts have consistently held that where a previous decision rests on a different factual and legal foundation than the issue sought to be adjudicated in the case at bar, collateral estoppel effect should be denied. (Johnson v. GlaxoSmithKline, Inc., (2008) 166 Cal. App. 4th 1497; Torrecillas v. Fitness Int'l, LLC, (2020) 52 Cal. App. 5th 485.

CONCLUSION

Defendant's motion to compel arbitration is GRANTED. The Court hereby stays the case in its entirety.